"From the Linux Foundation's view, either Oracle or IBM represented positive outcomes for Linux. Both these companies have robust pan-organisational Linux initiatives."

—Jim Zemlin, executive director, The Linux Foundation

with India, Latin America, a combined Russia, Middle East and Africa growing by double digits, year-on-year.

Now, who would want to let go of such a profitable business? Certainly not Larry Ellison. The Oracle chief recently ended the speculation of a sell-off. He was quoted in a Reuters interview as saying, "We are definitely not going to exit the hardware business. If a company designs both hardware and software, it can build much better systems than if they only design the software. That's why Apple's iPhone is so much better than Microsoft phones. We think designing our own chips is very, very important. Even Apple is designing its own chips these days." [Guess he can't resist having a dig at his favourite rival, Microsoft.]

But Oracle has no prior experience in hardware except for Network Computers (NC), which could be called a failure. "Fortunately for them, NC was so small an effort that writing it off cost them almost nothing. Sun was very much a hardware company, and it's a surprise to see Oracle wanting to make such a bold move," says Tiemann of Cygnus Solutions.

But sticking with the hardware business would mean walking a tight rope. HP, Dell and IBM may be wary of the situation. Well, Oracle might be happy to cause some worry to IBM, which has always been a competitor with an extra edge. Ownership of Java was one of the reasons Oracle acquired Sun, as Ellison claimed. IBM's stack uses a lot of Java, and Oracle just can't let it go to IBM so easily. It seems like Ellison made the right move at the right time.

Only time will tell what strategy Oracle will adopt in terms of the hardware business—I'm sure it would not want HP, Dell and the rest to go and smoke in Microsoft's camp. The fact is that today's customers are smart. They know what serves their interests in the long term. Customers will now see more value in going to Oracle, which will force others to chalk out their strategy very carefully. But, nothing can be said unless the final details of the deal are out. I guess the whole industry is awaiting that moment.

All eggs in the same basket

Apart from hardware, a lot of equations are going to be recalculated in the field of software. One of the most interesting facts is that Oracle now owns one of the most popular operating systems its databases were running on—Sun Solaris. But at the same time, it also has its own Oracle Enterprise Linux (OEL), which the database giant proudly admits is virtually a copy of Red Hat Enterprise Linux (RHEL), minus the RH trademark.

How will the two competing operating systems live and grow within the same company? What kind of commitment does Oracle have towards Linux (besides its own offering, OEL) and it being the preferred OS to run its database?

The fact is that Oracle is one of the biggest customers of GNU/Linux, as well as one of the biggest contributors to the development of the Linux kernel and other GNU tools. According to Zemlin, "... they are one of the largest consumers of Linux in the world in their data centres; this is a company that is very pro-Linux. Purchasing one of Linux's competitors (Solaris) certainly bodes well for Linux."

Sun's demise = failure of the open source model?

There is a feeling that Sun's demise also means the failure of the open source model. But this is not correct. Sun failed due to the problems it inherited.

Laurent Lachal, director, open source research, Ovum, notes, "Oracle is better positioned to make money out of this business than Sun was. Sun did not make much of its open source software because it never managed to make much of its software business—irrespective of the software being open source or not. If you want examples of open source successes look no further than the insolent financial health of Red Hat whose market capitalisation overtook that of Sun in early 2009. Sun's acquisition is not the result of the inability of open source to make money but of Sun to succeed."

Tony Wassarman of the Carnegie Mellon University adds, "It's hard to make money in any business these days, let alone a profitable software business. The same is true for an open source business. There are a small number of companies that have built successful open source businesses—most of them combine their open source offerings with other sources of revenues, including SaaS and commercial add-on products. But Red Hat proves that it is possible to build a successful open source business."